

Amazon.com Inc AMZN (XNAS)

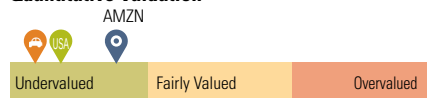
Morningstar Rating	Last Price	Fair Value Estimate
★★★★	1,863.70 USD	2300.00 USD
11 Jun 2019 21:36, UTC	11 Jun 2019	29 Apr 2019 14:14, UTC

Price/Fair Value	Trailing Dividend Yield %	Forward Dividend Yield %	Market Cap (Bil)	Industry	Stewardship
0.81	—	0.00	917.56	Specialty Retail	Exemplary
	11 Jun 2019	11 Jun 2019	11 Jun 2019		

Morningstar Pillars	Analyst	Quantitative
Economic Moat	Wide	Wide
Valuation	★★★★	Undervalued
Uncertainty	High	High
Financial Health	—	Moderate

Source: Morningstar Equity Research

Quantitative Valuation



	Current	5-Yr Avg	Sector	Country
Price/Quant Fair Value	0.90	0.95	0.80	0.83
Price/Earnings	77.8	374.5	16.2	20.1
Forward P/E	58.1	—	12.3	13.9
Price/Cash Flow	27.2	30.4	10.2	13.1
Price/Free Cash Flow	45.0	85.1	17.7	19.5
Trailing Dividend Yield%	—	—	2.46	2.35

Source: Morningstar

Bulls Say

- ▶ Amazon dominates North American online retail with estimated GMV of \$280 billion in the region during 2018.
- ▶ With more than half of the world's Internet users coming from developing markets, Amazon has sizable international growth opportunities for its marketplaces, advertising, and hardware assortment in areas like Europe, Japan, and Southeast Asia.
- ▶ Amazon's device portfolio—including Kindle, Fire TV, Dash, Echo, and other Alexa-enabled products—are intriguing customer acquisition and retention tools that also promote Prime membership engagement and AWS' various capabilities.

Bears Say

- ▶ Amazon's margin expansion trajectory will probably be uneven at times, given its global logistics requirements, content investments, increased competition, and physical store/healthcare initiatives.
- ▶ International expansion brings unique challenges such as local e-commerce regulations, fulfillment infrastructure investments, and incumbent competition in several markets.
- ▶ Certain AWS offerings face competition from well-capitalized peers like Microsoft Azure and Google, possibly exposing it to more aggressive price competition and longer-term margin expansion constraints.

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Amazon's Business Continues to Evolve but Still Offers a Dynamic Long-Term Cash Flow Story

Business Strategy and Outlook

R.J. Hottovy, CFA, Analyst, 29 April 2019

Amazon's disruption of the retail industry is well documented, but the company continues to find ways to evolve its business model. Its operational efficiency, network effect, and a brand intangible asset built on customer service provide its marketplaces with sustainable competitive advantages that few, if any, traditional retailers can match. The combination of competitive pricing, unparalleled logistics capabilities and speed, and high-level customer service makes Amazon an increasingly vital distribution channel for consumer brands. Even with more retailers looking to expand online, we believe Amazon will maintain its consumer proposition through Prime expedited shipping, an expanding digital content library, and new partnerships from its Whole Foods acquisition. Aided by more than 440 million estimated global active users, more than 120 million global Prime members, and fulfillment infrastructure, technology, and content investments, Amazon owns one of the wider economic moats in the consumer sector and is likely to reshape retail, digital media, enterprise software, and other categories for years to come.

Key top-line metrics—including active users (a 12% compound annual growth rate the past five years), total physical and digital units sold (23% CAGR), and third-party units sold (30% CAGR)—continue to outpace global e-commerce trends, suggesting that Amazon is gaining share while fortifying its network effect. On top of its impressive growth, Amazon is building a more visible margin expansion story despite investment requirements for new fulfillment infrastructure/capacity, content deals, AmazonFresh, hardware such as the Echo/Alexa-enabled products, new delivery technologies, and physical store expansion. While some capital decisions haven't always yielded strong returns, we're optimistic that Amazon can grow to and sustain 9%-10% operating margins by 2023 based on Prime adoption and new pricing tiers, new subscription services spanning multiple categories, AWS segment margins around 35%, fulfillment center scale, new third-party seller services, advertising services, and Alexa technology licensing arrangements.

Analyst Note

R.J. Hottovy, CFA, Analyst, 26 April 2019

Amazon's first-quarter update reinforced its continued shift in to a more dynamic free cash story, with subscription platforms, AWS, advertising, and Whole Foods each contributing to strong revenue growth (\$59.7 billion—near the high end of guidance calling for \$56 billion-\$60 billion) and a new high-water mark for first-quarter operating margins (7.4% versus 3.8% a year ago). Nevertheless, it was Amazon's announcement that it plans to evolve its Prime two-day free shipping program into a one-day free shipping program that warrants the closest examination.

We see both a defensive and offensive rationale behind the one-day shipping decision. From a defensive perspective, we believe competitors such as Walmart, Target, and Best Buy have steadily been narrowing the delivery speed gap with Amazon the past 12-18 months, but we believe this move will help to reinforce the network effect component behind our wide-moat rating (with one-day delivery appealing to not only buyers, but also sellers). On the offensive front, we believe expanded one-day delivery capabilities (which will necessitate \$800 million of incremental investment in the second quarter and additional investment as the year progresses) will create new third-party seller monetization opportunities and unlock new subscription service offerings, both of which are central to our longer-term assumptions.

Although Amazon plans to ramp up fulfillment and head count investments as the year progresses, we believe AWS, advertising, and subscription offerings can drive full-year margins between 6.5% and 7.0% (even with second-quarter guidance calling for achievable revenue of \$59.5 billion-\$63.5 billion and \$2.6 billion-\$3.6 billion in operating profit—or roughly 5.0% operating margins). Amazon remains one of our top investment ideas, and we're planning to increase our \$2,200 fair value estimate as one-day shipping investments will be more than offset by new user engagement/subscription and seller monetization.

Economic Moat

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Close Competitors	Currency (Mil)	Market Cap	TTM Sales	Operating Margin	TTM/PE
Walmart Inc WMT	USD	308,139	515,640	4.22	37.59
JD.com Inc JD	USD	46,780	482,973	-0.17	89.29
eBay Inc EBAY	USD	33,318	10,809	20.83	14.06

R.J. Hottovy, Analyst, 12 June 2019

The traditional brick-and-mortar retail industry is undergoing a rapid transformation, particularly in commoditized categories. With nonexistent customer switching costs and intense competition, we've already seen Circuit City, Linens 'n Things, Borders, and RadioShack exit the retail landscape, while Barnes & Noble, Sears, office superstores, and a host of other retailers struggle to reverse deteriorating fundamentals. Market consolidation among mass merchants like Walmart and Costco has played a role in this trend, as have direct-to-consumer investments by key original-equipment manufacturers. However, we view Amazon as the most disruptive force in retail over the past several decades. Its operational efficiency, network effect, and laser focus on customer service provide its marketplaces with sustainable competitive advantages that traditional retailers cannot match; this should yield additional market share gains in the years to come. Despite ongoing fulfillment, technology (hardware devices, Alexa, and AWS), and content investments, we expect Amazon can generate economic returns ahead of our cost of capital assumption over an extended horizon, supporting our wide moat rating.

One of Amazon's key advantages is its operational efficiency of its fulfillment and distribution network, which satisfies consumer demand for free and expedited shipping (including plans to expand one-day delivery for U.S. Prime members during 2019). This allows Amazon to generate strong cash flow, which in turn can be reinvested in advertising, customer service, and website enhancements that keep its marketplace robust and customer loyalty strong. In fact, we believe Amazon's brand has come to represent low prices, a wide selection, convenience, and superior customer service—a rare combination among retailers.

Amazon also benefits from a network effect, as low prices, an expansive breadth of products, and a user-friendly interface attract millions of customers, which in turn attract merchants of all kinds to Amazon.com, including third-party sellers on Amazon's Marketplace platform

(which represented more than 50% of total units sold in 2018) and wholesalers/manufacturers selling directly to Amazon. According to our research, the percentage of traffic to Amazon derived from search has fallen in recent years at a time when other online retailers have become more dependent on search. We think this indicates that Amazon is increasingly becoming the starting point for online purchases, akin to a mall anchor tenant. Additionally, customer reviews, product recommendations, and wish lists increase in relevance as more consumers and products are added to the Amazon platform, enhancing its network effect.

Amazon's \$13.7 billion acquisition of Whole Foods in 2017 marks its most significant push into the grocery category but likely left some investors scratching their heads after more than two decades of building an e-commerce empire without physical stores. While we had expected the company to further test its other grocery concepts before going all in with physical stores, we do see several reasons this acquisition is more than just a push into the grocery category and can enhance Amazon's wide moat. First, there is already a high degree of overlap between Amazon Prime members and Whole Foods shoppers, with opportunities to migrate Prime members to the Fresh member tier (which presently runs \$14.99 per month in addition to annual Prime membership fees, though we suspect changes to Fresh will continue as Whole Foods is further integrated). Second, Amazon adds instant credibility in fresh produce and proteins through Whole Foods' supplier base, something that had been slow to materialize with Amazon's grocery efforts to this point. On top of the company becoming a reputable player in fresh food, we expect that many Whole Foods suppliers will explore Amazon as a potential distribution channel, at least those not already using Amazon's marketplaces. Third, Amazon has a new vehicle to meaningfully expand and accelerate its private-label offerings, including its own packaged food and household product private labels such as Happy Belly, Bloom Street, Mama Bear, and Wickedly Prime as well as the opportunity to sell Whole Foods' 365 label to existing Prime customers. Finally, Whole Foods' physical locations offer an opportunity to showcase new Amazon products and technologies.

We like Amazon's ability to compete in digital media, given its sizable customer base, the symbiotic hardware/software ecosystem of its Kindle, Fire TV, Dash, and Echo products, and intriguing licensing possibilities with Amazon's Echo

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and other Alexa-enabled voice-recognition products. We still view the Kindle suite of products as customer-acquisition tools that add multiple layers of upside to our base-case assumptions, including additional Prime memberships and engagement levels, accelerating digital media sales, and a positive halo effect on general merchandise sales. We believe Amazon will continue to develop into a formidable player in digital media, given its vast content offerings, inroads into new verticals (including video games), and ability to sell hardware as a loss leader.

We believe Amazon Web Services has similarly developed cost advantage, intangible asset, and network effect moat sources. Amazon's public cloud computing offerings possess more than 3 times the computing capacity in use than the next 10 largest providers combined (based on our estimates), providing the company with scale advantages and often making it the preferred name for corporations looking to reduce information technology expenditures. We expect AWS to generate \$36 billion in revenue during 2019, and we forecast average annual revenue growth of 30% over the next five years. With recent investments in additional capacity and other innovations, we expect AWS to become an increasingly positive gross margin contributor--the segment posted a 28.4% segment operating margin in 2018, and we believe it can deliver mid-30s operating margins over a longer horizon--because of its highly scalable nature and other mission-critical services outside of cloud storage, as well as a network of third-party software providers selling on AWS Marketplace.

Fair Value & Profit Drivers

R.J. Hottovy, Analyst, 29 April 2019

We're raising our fair value estimate to \$2,300 per share from \$2,200 as emergent sources of growth such as advertising, subscription services like Amazon Music and Kindle Unlimited, international retail, and Alexa (and the future licensing opportunities it presents) offsets Prime one-day shipping investments. In Amazon's case, we do not believe traditional price/earnings and enterprise value/EBITDA metrics are meaningful, given the impact that technology, content, and infrastructure investments are expected to have on near-term margins. Still, we believe Amazon warrants a premium valuation based on its wide economic moat, meaningful avenues for growth, and longer-term margin expansion potential.

Amazon's competitive position and compelling value proposition should lead to additional share gains in 2019, putting full-year revenue growth around 18%. Our model assumes average annual revenue growth of around 16% for the five years ending 2023 due to contribution from physical retail formats, greater engagement among Amazon Prime members, and increased third-party sales from its suppliers, digital content sales, international expansion, and nascent growth channels like advertising and technology licensing. With respect to Amazon's sales mix, we forecast online retail to grow 8% annually over the next five years, with smaller segments like physical stores, third-party seller services, subscription services, AWS, and advertising growing 6% (on a pro forma basis), 19%, 27%, 30%, and 38%, respectively, over the same period.

We forecast that gross margins will push 43% within the next few years, compared with 40.2% in 2018. Amazon's growing clout with suppliers and advertisers, the higher proportion of third-party units in the sales mix, AWS' increased presence, and new advertising service offerings should allow for higher gross margins. We also forecast operating margin expansion through increasing expense leverage (particularly in the fulfillment, marketing, and general and administrative expense line items), greater contribution from AWS, accelerating third-party unit sales, and cost-saving opportunities at Whole Foods. Our model calls for Amazon to approach 10% GAAP operating margins over the next five years, based on the company's strong competitive positions in AWS and North American e-commerce, as well as early indications of success in certain international markets.

Risk & Uncertainty

R.J. Hottovy, Analyst, 12 June 2019

Despite its leading position in a North American and European e-commerce industry with secular tailwinds, Amazon faces several potential risks. Impairment to Amazon's low-price positioning, whether real or perceived, could have an adverse impact on fundamentals. Amazon must maintain its value proposition and logistics efficiency to drive site traffic while competing with other merchants for market share. This includes managing the value proposition of Amazon Prime (including raising the base U.S. annual membership fee to \$119 in May 2018), but we believe the convenience of the platform's fulfillment capabilities, expanded digital content

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offerings, and new subscription and streaming offerings will continue to drive new Prime membership growth and keep churn to a minimum. Other execution risks include exposure to volatile discretionary spending patterns and expansion into peripheral business lines and physical stores (including the integration of Whole Foods), which could distract management or lead to poor capital-allocation decisions. International growth brings unique regulatory challenges, as foreign governing bodies are constantly amending online commerce laws, often to the benefit of local players in the market.

On top of execution risk, we see three other sources of potential risk: (1) regulatory, including the treat of increased shipping fees from the U.S. Postal Service or other regulated carriers, higher taxes, or antitrust litigation; (2) direct and indirect competition from other retailers or technology firms; and (3) intangible asset impairment, including data breaches or concerns over inappropriate data usage or consumer fatigue. On the other hand, we see sources of upside risks from more diversified and specialized AWS offerings, expanded Fulfillment by Amazon capabilities, the rollout of AmazonFresh across additional urban centers, new potential pricing tiers or add-on features for Amazon Prime memberships, and expanding advertising to new channels.

Amazon has made several investments in sustaining its moatworthy business models, including an efficient fulfillment infrastructure in North America, a vast portfolio of audio and video content, and Amazon Web Services capacity. However, charges tied to the Fire Phone in 2014 and operating losses internationally underscore the importance of Amazon being selective with its capital-allocation decisions. We believe the lack of consumer interest in the Fire Phone was a wakeup call for management's future capital decisions, as the company runs the risk of losing key personnel without stronger returns on invested capital, owing to the equity component of many employees' compensation structure. However, we're comfortable with this risk, based on recent capital discipline and investments that have been more directly aligned with the core commerce marketplace and AWS platforms.

Stewardship

R.J. Hottovy, Analyst, 29 April 2019

Chairman and CEO Jeff Bezos founded Amazon.com in 1994. We view Amazon's management team as Exemplary in terms of corporate stewardship. Bezos owns about 15% of the shares (and voting rights for 20%), takes no equity compensation or bonus pay, and collects a paltry salary. Although the board is small, it is elected every year, receives no cash compensation, avoids insider relationships, and hasn't implemented antitakeover provisions. The company also provides a fair amount of supplementary financial data in its financial reports. Our only complaint is that specific disclosures have not increased as the company has expanded into new areas, including digital downloads, the Kindle suite of products, and user/Prime membership data (though to its credit, management broke out AWS as a separate business unit in the first quarter of 2015 and disclosed that the company surpassed 100 million Prime memberships globally in 2017).

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Analyst Notes Archive

Market Fixation on Its Near-Term Revenue Overshadowing Amazon's Dynamic Long-Term Cash Flow Model

R.J. Hottovy, Analyst, 01 February 2019

Wide-moat Amazon capped off 2018 with strong fourth-quarter results that solidified our views about the company's ongoing shift from purely a growth story to one that better balances cash flow generation through margin-accretive offerings such as third-party services, new Prime membership tiers and subscription platforms, expanded AWS functionality, and advertising (with Alexa licensing offering a potential future contributor). The market continues to pressure the stock due to first-quarter 2019 revenue guidance of \$56 billion-\$60 billion (up 10%-18% compared with 20% in the fourth quarter), and while we acknowledge that there are legitimate questions about international markets such as India, we believe the more relevant takeaway for investors is that Amazon's 2018 moves make it a more dynamic company with greater monetization opportunities over a longer horizon.

Gross margins improved 180 basis points to 38.1%, which was a bit weaker than trends earlier in the year due to holiday shipping offers, but still reinforce the idea of Amazon as a more consistent cash flow generator. Just two years ago, most investors would've scoffed at the notion of Amazon posting mid-single-digit operating margins, but with gross margin expansion helping to drive full-year operating margins of 5.3% (versus 2.3% last year), we believe our longer-term operating margin target of 8%-9% looks more palatable. Admittedly, management noted that it expects headcount, fulfillment, and AWS investments to accelerate in 2019, but we believe the evolution of Amazon's advertising, third-party services, subscription, and logistics businesses supply it with enough slack to post 6% operating margins for the year.

We're not planning changes to our \$2,200 fair value estimate. We expect some volatility over the near future as the market adapts to Amazon's growth/profitability algorithm but ultimately believe the cash flow potential of its evolving business model is too much for investors to pass up.

Prime One-Day Shipping Offers Defensive and Offensive Benefits to Amazon's Long-Term Cash

Flow Story

R.J. Hottovy, Analyst, 26 April 2019

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Market Cap
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Sector
Consumer Cyclical

Industry
Specialty Retail

Country of Domicile
USA United States

There is no one analyst in which a Quantitative Fair Value Estimate and Quantitative Star Rating are attributed to; however, Mr. Lee Davidson, Head of Quantitative Research for Morningstar, Inc., is responsible for overseeing the methodology that supports the quantitative fair value. As an employee of Morningstar, Inc., Mr. Davidson is guided by Morningstar, Inc.'s Code of Ethics and Personal Securities Trading Policy in carrying out his responsibilities. For information regarding Conflicts of Interests, visit <http://global.morningstar.com/equitydisclosures>

Company Profile

Amazon is among the world's highest-grossing online retailers, with \$233 billion in net sales and \$408 billion in estimated global gross merchandise volume (GMV) in 2018. Online product and digital media content sales accounted for 53% of net revenue in 2018, followed by commissions, related fulfillment and shipping fees, and other third-party seller services (18%), Amazon Web Services' cloud compute, storage, database, and other offerings (11%), Prime membership fees and other subscription-based services (6%),

Quantitative Scores		Scores		
		All	Rel Sector	Rel Country
Quantitative Moat	Wide	100	100	100
Valuation	Undervalued	39	36	34
Quantitative Uncertainty	High	93	94	91
Financial Health	Moderate	71	54	71



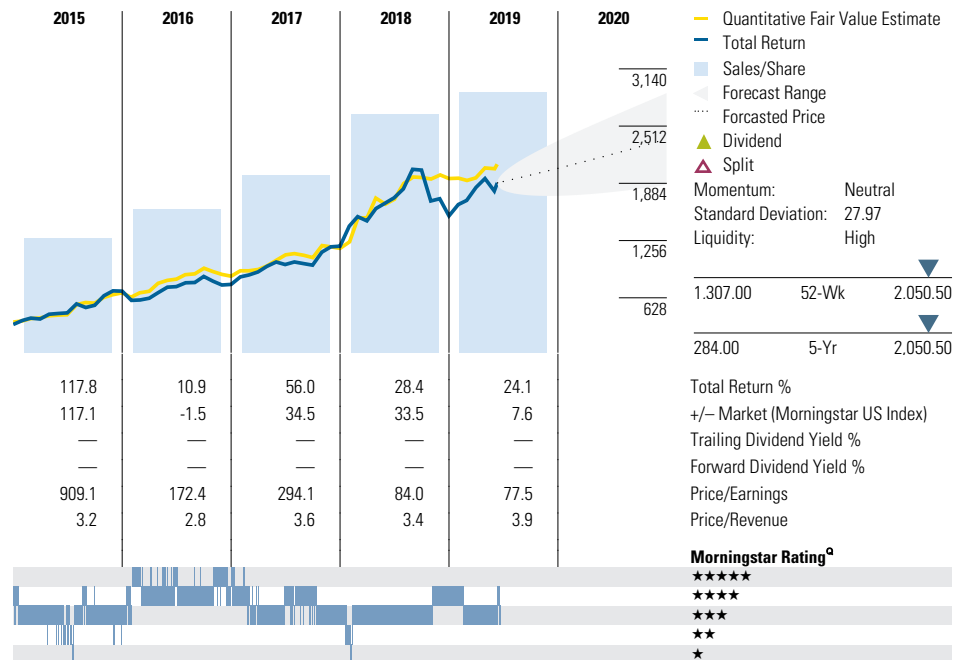
Valuation		Current	5-Yr Avg	Sector Median	Country Median
Price/Quant Fair Value		0.90	0.95	0.80	0.83
Price/Earnings		77.8	374.5	16.2	20.1
Forward P/E		58.1	—	12.3	13.9
Price/Cash Flow		27.2	30.4	10.2	13.1
Price/Free Cash Flow		45.0	85.1	17.7	19.5
Trailing Dividend Yield %		—	—	2.46	2.35
Price/Book		19.0	20.5	1.6	2.4
Price/Sales		3.9	2.9	0.9	2.4

Profitability		Current	5-Yr Avg	Sector Median	Country Median
Return on Equity %		30.1	11.7	12.2	12.9
Return on Assets %		7.9	2.7	5.4	5.2
Revenue/Employee (K)		373.0	422.7	566.3	325.9

Financial Health		Current	5-Yr Avg	Sector Median	Country Median
Distance to Default		0.6	0.7	0.6	0.5
Solvency Score		393.6	—	486.0	552.4
Assets/Equity		3.7	4.6	1.8	1.7
Long-Term Debt/Equity		0.5	0.6	0.2	0.4

Growth Per Share		1-Year	3-Year	5-Year	10-Year
Revenue %		30.9	29.6	25.6	28.4
Operating Income %		202.5	77.2	75.6	31.3
Earnings %		227.5	152.6	102.6	29.7
Dividends %		—	—	—	—
Book Value %		54.9	46.1	33.1	30.4
Stock Total Return %		10.3	37.4	40.9	36.1

Price vs. Quantitative Fair Value



Momentum: Neutral
Standard Deviation: 27.97
Liquidity: High

1.307.00 52-Wk 2.050.50

284.00 5-Yr 2.050.50

Total Return %
+/- Market (Morningstar US Index)
Trailing Dividend Yield %
Forward Dividend Yield %
Price/Earnings
Price/Revenue

Morningstar Rating^Q

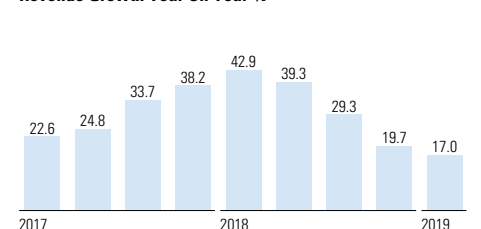


2014	2015	2016	2017	2018	TTM	Financials (Fiscal Year in Mil)
88,988	107,006	135,987	177,866	232,887	241,545	Revenue
19.5	20.2	27.1	30.8	30.9	3.7	% Change
178	2,233	4,186	4,106	12,421	14,914	Operating Income
-76.1	1,154.5	87.5	-1.9	202.5	20.1	% Change
-241	596	2,371	3,033	10,073	12,005	Net Income
6,842	11,920	16,443	18,434	30,723	34,360	Operating Cash Flow
-4,893	-4,589	-6,737	-11,955	-13,427	-13,619	Capital Spending
1,949	7,331	9,706	6,479	17,296	20,741	Free Cash Flow
2.2	6.9	7.1	3.6	7.4	8.6	% Sales
-0.52	1.25	4.90	6.15	20.14	23.96	EPS
-188.1	—	292.0	25.5	227.5	19.0	% Change
2.33	11.41	17.76	14.71	26.78	41.40	Free Cash Flow/Share
—	—	—	—	—	—	Dividends/Share
22.23	26.39	37.28	50.95	79.68	98.33	Book Value/Share
465,000	471,000	477,000	484,000	491,000	492,332	Shares Outstanding (K)
-2.4	4.9	14.5	12.9	28.3	30.1	Profitability
-0.5	1.0	3.2	2.8	6.9	7.9	Return on Equity %
-0.3	0.6	1.7	1.7	4.3	5.0	Return on Assets %
1.88	1.78	1.83	1.66	1.58	1.59	Net Margin %
5.1	4.9	4.3	4.7	3.7	3.7	Asset Turnover
17.4	20.5	22.1	22.9	25.6	26.7	Financial Leverage
0.2	2.1	3.1	2.3	5.3	6.2	Gross Margin %
8,265	8,235	7,694	24,743	23,495	23,322	Operating Margin %
10,741	13,384	19,285	27,709	43,549	48,410	Long-Term Debt
6.4	5.5	5.3	4.6	4.2	4.3	Total Equity
—	—	—	—	—	—	Fixed Asset Turns

Quarterly Revenue & EPS

Revenue (Bil)	Mar	Jun	Sep	Dec	Total
2019	59.7	—	—	—	—
2018	51.0	52.9	56.6	72.4	232.9
2017	35.7	38.0	43.7	60.5	177.9
2016	29.1	30.4	32.7	43.7	136.0
Earnings Per Share (I)					
2019	7.09	—	—	—	—
2018	3.27	5.07	5.75	6.04	20.14
2017	1.48	0.40	0.52	3.75	6.15
2016	1.07	1.78	0.52	1.54	4.90

Revenue Growth Year On Year %



Research Methodology for Valuing Companies

Qualitative Equity Research Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, in-depth competitive advantage analysis, and a variety of other analytical tools to augment this process. We believe this bottom-up, long-term, fundamentally based approach allows our analysts to focus on long-term business drivers, which have the greatest valuation impact, rather than short-term market noise.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at an uncertainty-adjusted discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk-adjusted discount to their fair values whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our single-point star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define excess economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats:

intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

To assess the direction of the underlying competitive advantages, analysts perform ongoing assessments of the moat trend. A firm's moat trend is positive in cases where we think its sources of competitive advantage are growing stronger; stable where we don't anticipate changes to competitive advantages over the next several years; or negative when we see signs of deterioration.

All the moat and moat trend ratings undergo periodic review and any changes must be approved by the Morningstar Economic Moat Committee, comprised of senior members of Morningstar's equity research department.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in working-capital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes, or EBIT, and the net new investment, or NNI, to derive our annual free cash flow forecast.

Stage II: Fade

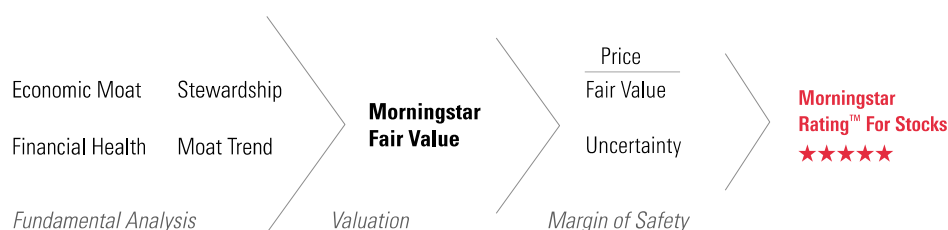
The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBIT over the period, a normalized investment rate, average return on new invested capital, or RONIC, and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until the perpetuity stage is reached. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term market-value weights.

Morningstar Research Methodology for Valuing Companies



Research Methodology for Valuing Companies

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating captures a range of likely potential intrinsic values for a company and uses it to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating represents the analysts' ability to bound the estimated value of the shares in a company around the fair value estimate, based on the characteristics of the business underlying the stock, including operating and financial leverage, sales sensitivity to the overall economy, product concentration, pricing power, and other company-specific factors.

Analysts consider at least two scenarios in addition to their base case: a bull case and a bear case. Assumptions are chosen such that the analyst believes there is a 25% probability that the company will perform better than the bull case, and a 25% probability that the company will perform worse than the bear case. The distance between the bull and bear cases is an important indicator of the uncertainty underlying the fair value estimate.

Our recommended margin of safety widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the estimated value of the equity, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the uncertainty rating provides guidance in portfolio construction based on risk tolerance.

Our uncertainty ratings for our qualitative analysis are low, medium, high, very high, and extreme.

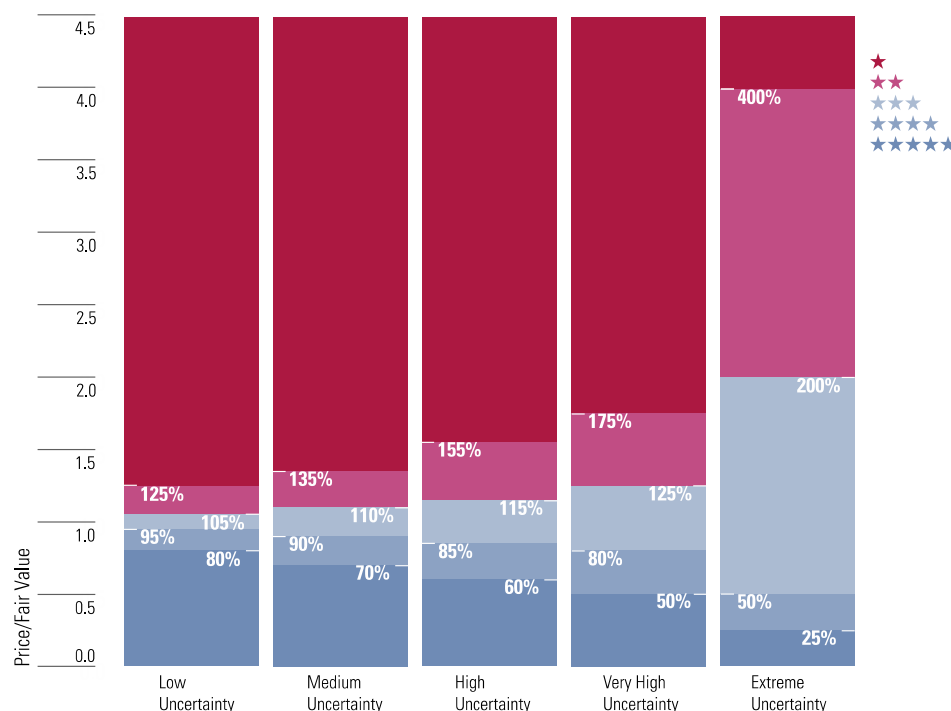
- ▶ Low—margin of safety for 5-star rating is a 20% discount and for 1-star rating is 25% premium.
- ▶ Medium—margin of safety for 5-star rating is a 30% discount and for 1-star rating is 35% premium.
- ▶ High—margin of safety for 5-star rating is a 40% discount and for 1-star rating is 55% premium.
- ▶ Very High—margin of safety for 5-star rating is a 50% discount and for 1-star rating is 75% premium.
- ▶ Extreme—margin of safety for 5-star rating is a 75% discount and for 1-star rating is 300% premium.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed, which we believe is a reliable source.

For more details about our methodology, please go to <https://shareholders.morningstar.com>.

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time, generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk-adjusted return is highly likely over a multiyear time frame. The current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. The market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Research Methodology for Valuing Companies

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Stewardship Rating: Represents our assessment of management's stewardship of shareholder capital, with particular emphasis on capital allocation decisions. Analysts consider companies' investment strategy and valuation, financial leverage, dividend and share buyback policies, execution, compensation, related party transactions, and accounting practices. Corporate governance practices are only considered if they've had a demonstrated impact on shareholder value. Analysts assign one of three ratings: "Exemplary," "Standard," and "Poor." Analysts judge stewardship from an equity holder's perspective. Ratings are determined on an absolute basis. Most companies will receive a Standard rating, and this is the default rating in the absence of evidence that managers have made exceptionally strong or poor capital allocation decisions.

Quantitative Valuation: Using the below terms, intended to denote the relationship between the security's Last Price and Morningstar's quantitative fair value estimate for that security.

- Undervalued: Last Price is below Morningstar's quantitative fair value estimate.
- Fairly Valued: Last Price is in line with Morningstar's quantitative fair value estimate.
- Overvalued: Last Price is above Morningstar's quantitative fair value estimate.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

Quantitative Equity Reports Overview

The quantitative report on equities consists of data, statistics and quantitative equity ratings on equity securities. Morningstar, Inc.'s quantitative equity ratings are forward looking and are generated by a statistical model that is based on Morningstar Inc.'s analyst-driven equity ratings and quantitative statistics. Given the nature of the

quantitative report and the quantitative ratings, there is no one analyst in which a given report is attributed to; however, Mr. Lee Davidson, Head of Quantitative Research for Morningstar, Inc., is responsible for overseeing the methodology that supports the quantitative equity ratings used in this report. As an employee of Morningstar, Inc., Mr. Davidson is guided by Morningstar, Inc.'s Code of Ethics and Personal Securities Trading Policy in carrying out his responsibilities.

Quantitative Equity Ratings

Morningstar's quantitative equity ratings consist of:

- (i) Quantitative Fair Value Estimate
 - (ii) Quantitative Star Rating
 - (iii) Quantitative Uncertainty
 - (iv) Quantitative Economic Moat
 - (v) Quantitative Financial Health
- (collectively the "Quantitative Ratings").

The Quantitative Ratings are calculated daily and derived from the analyst-driven ratings of a company's peers as determined by statistical algorithms. Morningstar, Inc. ("Morningstar," "we," "our") calculates Quantitative Ratings for companies whether it already provides analyst ratings and qualitative coverage. In some cases, the Quantitative Ratings may differ from the analyst ratings because a company's analyst-driven ratings can significantly differ from other companies in its peer group.

Quantitative Fair Value Estimate: Intended to represent Morningstar's estimate of the per share dollar amount that a company's equity is worth today. Morningstar calculates the quantitative fair value estimate using a statistical model derived from the fair value estimate Morningstar's equity analysts assign to companies. Please go to <https://shareholders.morningstar.com> for information about fair value estimates Morningstar's equity analysts assign to companies.

Quantitative Economic Moat: Intended to describe the strength of a firm's competitive position. It is calculated using an algorithm designed to predict the Economic Moat rating a Morningstar analyst would assign to the stock. The rating is expressed as Narrow, Wide, or None.

- Narrow: assigned when the probability of a stock receiving a "Wide Moat" rating by an analyst is greater than 70% but less than 99%.
- Wide: assigned when the probability of a stock receiving a "Wide Moat" rating by an analyst is greater than 99%.
- None: assigned when the probability of an analyst receiving a "Wide Moat" rating by an analyst is less than 70%.

Quantitative Star Rating: Intended to be the summary rating based on the combination of our Quantitative Fair

Value Estimate, current market price, and the Quantitative Uncertainty Rating. The rating is expressed as 1-Star, 2-Star, 3-Star, 4-Star, and 5-Star.

★: the stock is overvalued with a reasonable margin of safety.

Log (Quant FVE/Price) < -1 * Quantitative Uncertainty

★★: the stock is somewhat overvalued.

Log (Quant FVE/Price) between (-1 * Quantitative Uncertainty, -0.5 * Quantitative Uncertainty)

★★★: the stock is approximately fairly valued.

Log (Quant FVE/Price) between (-0.5 * Quantitative Uncertainty, 0.5 * Quantitative Uncertainty)

★★★★: the stock is somewhat undervalued.

Log (Quant FVE/Price) between (0.5 * Quantitative Uncertainty, 1 * Quantitative Uncertainty)

★★★★★: the stock is undervalued with a reasonable margin of safety. Log (Quant FVE/Price) > 1 * Quantitative Uncertainty

Quantitative Uncertainty: Intended to represent Morningstar's level of uncertainty about the accuracy of the quantitative fair value estimate. Generally, the lower the quantitative Uncertainty, the narrower the potential range of outcomes for that particular company. The rating is expressed as Low, Medium, High, Very High, and Extreme.

- Low: the interquartile range for possible fair values is less than 10%.
- Medium: the interquartile range for possible fair values is less than 15% but greater than 10%.
- High: the interquartile range for possible fair values is less than 35% but greater than 15%.
- Very High: the interquartile range for possible fair values is less than 80% but greater than 35%.
- Extreme: the interquartile range for possible fair values is greater than 80%.

Quantitative Financial Health: Intended to reflect the probability that a firm will face financial distress in the near future. The calculation uses a predictive model designed to anticipate when a company may default on its financial obligations. The rating is expressed as Weak, Moderate, and Strong.

- Weak: assigned when Quantitative Financial Health < 0.2
- Moderate: assigned when Quantitative Financial Health is between 0.2 and 0.7
- Strong: assigned when Quantitative Financial Health > 0.7

Research Methodology for Valuing Companies

Other Definitions

Last Close: Price of the stock as of the close of the market of the last trading day before date of the report.

Quantitative Valuation: Using the below terms, intended to denote the relationship between the security's Last Price and Morningstar's quantitative fair value estimate for that security.

- Undervalued: Last Price is below Morningstar's quantitative fair value estimate.
- Fairly Valued: Last Price is in line with Morningstar's quantitative fair value estimate.
- Overvalued: Last Price is above Morningstar's quantitative fair value estimate.

This Report has not been made available to the issuer of the security prior to publication.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report.

The quantitative equity ratings are not statements of fact. Morningstar does not guarantee the completeness or accuracy of the assumptions or models used in determining the quantitative equity ratings. In addition, there is the risk that the price target will not be met due to such things as unforeseen changes in demand for the company's products, changes in management, technology, economic development, interest rate development, operating and/or material costs, competitive pressure, supervisory law, exchange rate, and tax rate. For investments in foreign markets there are further risks, generally based on exchange rate changes or changes in political and social conditions.

A change in the fundamental factors underlying the quantitative equity ratings can mean that the valuation is subsequently no longer accurate.

For more information about Morningstar's quantitative methodology, please visit <http://global.morningstar.com/equitydisclosures>.

Amazon.com Inc AMZN (XNAS)

Morningstar Rating	Last Price	Fair Value Estimate	Price/Fair Value	Trailing Dividend Yield %	Forward Dividend Yield %	Market Cap (Bil)	Industry	Stewardship
★★★★	1,863.70 USD	2300.00 USD	0.81	—	0.00	917.56	Specialty Retail	Exemplary
11 Jun 2019 21:36, UTC	11 Jun 2019	29 Apr 2019 14:14, UTC		11 Jun 2019	11 Jun 2019	11 Jun 2019		

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Price/Fair Value

Morningstar data as of Jun 11, 2019



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Amazon.com Inc AMZN (XNAS)

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